

Alphabet Inc.

GOOGL

Communication Services

RATING

PRICE

TARGET

Outperform

\$349.94

\$375.00

MARKET CAP	P/E (FWD)	P/B RATIO
\$4,233.38B	28.7x	9.13x
ROE	DIV. YIELD	52W RANGE
31.8%	0.24%	\$147.84 - \$355.79

Investment Thesis

“Alphabet Inc. delivers compelling financial momentum, with revenue compounding at 11.8% annually to reach approximately \$403 billion in 2025 while EBITDA margins expand sharply from 30.1% in 2022 to a projected 51.7% by 2027, reflecting disciplined cost leverage and durable competitive advantages across its core platforms. The company commands industry-leading EBITDA generation among mega-cap peers, surpassing both Meta and Microsoft in absolute EBITDA in 2025 at approximately \$180 billion, with forward estimates pointing to further separation as AI-driven monetization and operational efficiency gains accelerate. Trading at a 2025E P/E of 27.3x against EPS growth from \$8.13 in 2024 to an estimated \$13.01 by 2027, Alphabet offers an attractive risk-reward profile for long-term investors seeking quality compounding at a reasonable valuation.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the most dominant and recognizable brands in the world. Founded in 1998 and restructured under the Alphabet umbrella in 2015, the company operates across several high-impact verticals including digital advertising, cloud computing, hardware, and emerging technologies.

Alphabet's core business model revolves around monetizing its vast digital ecosystem through advertising revenue, which remains the primary driver of top-line performance. Google Search, YouTube, and the Google Network

collectively generate the majority of revenues, while Google Cloud has emerged as a rapidly growing and increasingly significant contributor. Beyond advertising and cloud, the company's Other Bets segment houses moonshot ventures in areas such as autonomous vehicles through Waymo, life sciences through Verily, and other frontier technology initiatives.

From a market position standpoint, Alphabet holds an unrivaled leadership position in global search, commanding approximately 90 percent of worldwide search engine market share. YouTube is the world's largest video-sharing platform, and Google Cloud ranks among the top three global cloud providers alongside Amazon Web Services and Microsoft Azure. This diversified yet interconnected portfolio creates powerful network effects and significant competitive moats across each business line.

Financially, Alphabet has demonstrated compelling and accelerating performance. Revenue has grown from approximately 258 billion dollars in 2021 to nearly 403 billion dollars in 2025, representing a four-year compound annual growth rate of approximately 11.8 percent. More impressively, EBITDA margin has expanded dramatically from 40.2 percent in 2021 to 44.7 percent in 2025, reflecting disciplined cost management and operating leverage. SG&A as a percentage of revenue has declined steadily, falling from 14.1 percent in 2021 to 12.5 percent in 2025. Earnings per share have similarly grown from 5.69 dollars in 2021 to 10.91 dollars in 2025.

Looking ahead, forward estimates project continued revenue growth toward 466 billion dollars by 2027, with EBITDA margins expected to expand further to approximately 51.7 percent, suggesting meaningful operating leverage as artificial intelligence integration drives efficiency gains. When benchmarked against peers, Alphabet's EV/EBITDA multiple of approximately 21.2 times in 2025 compares favorably relative to Microsoft at 23.6 times, while trading at a premium to Meta at 16.4 times, reflecting the market's recognition of Alphabet's diversified earnings power and long-term growth optionality.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, with revenue reaching approximately **\$403 billion**, representing **15.1%** year-over-year growth and continuing the acceleration seen in 2024. EBITDA expanded meaningfully to **\$180 billion**, pushing EBITDA margins to **44.7%**, a significant recovery from the **30.1%** trough recorded in 2022 and reflective of disciplined cost management following the company's restructuring efforts. Contribution margins have similarly improved, rising steadily from **55.4%** in 2022 to **59.7%** in 2025, signaling durable operating leverage across the business. EPS grew to \$10.91 in 2025, up from \$8.13 in 2024, underscoring robust bottom-line execution.

Key growth drivers include continued strength in Google Search and Cloud, increasing monetization of AI-integrated products across advertising and enterprise services, and improving SG&A efficiency, with the margin declining from **15.0%** in 2022 to **12.5%** in 2025. Google Cloud in particular remains a critical long-term catalyst as enterprise AI adoption accelerates.

Relative to peers, Alphabet trades at an EV/EBITDA of approximately **21.2x** on 2025 figures, a modest premium to Meta at **16.4x** but a meaningful discount to Microsoft at **23.6x**, suggesting reasonable valuation given its scale and margin trajectory.

Looking ahead, consensus estimates project revenue of **\$423 billion** in 2025E, growing toward **\$466 billion** by 2027E, with EBITDA margins approaching **52%**. The forward EPS growth path, from **\$11.57** to \$13.01 over the estimate period, supports the current PE multiple of approximately **27x**. We view Alphabet as well-positioned to

compound earnings at an attractive rate, driven by AI monetization, cloud expansion, and sustained operational efficiency.

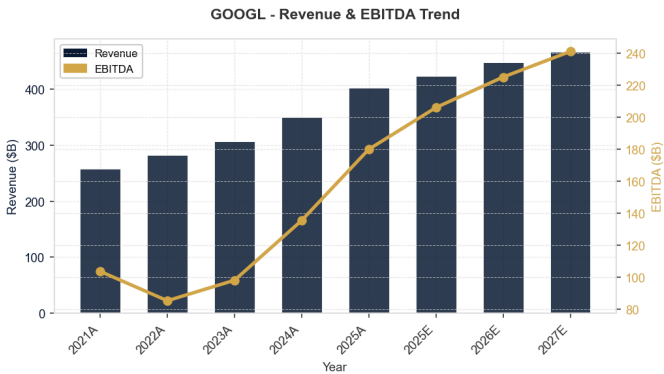
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$402.96B
EBITDA (2025A)	\$179.96B
Revenue Growth (2025A)	15.1%



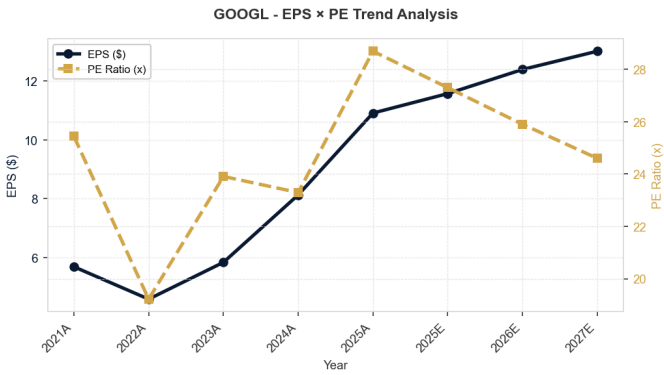
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	10.91
PE Ratio (2025A)	28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing EV/EBITDA of approximately **21.2x** on 2025 actuals, reflecting meaningful multiple expansion from the **17.2x** recorded in 2024. This re-rating is justified by a significant improvement in EBITDA margins, which expanded from **38.7%** in 2024 to **44.7%** in 2025, driven by disciplined cost management and operating leverage across its core search and cloud businesses. The trailing P/E of approximately **28.7x** on 2025 EPS of \$10.91 compresses to an estimated **24.6x** by 2027 as earnings grow toward \$13.01 per share, suggesting a reasonable growth-adjusted valuation for a business of this quality and scale.

Peer Comparison

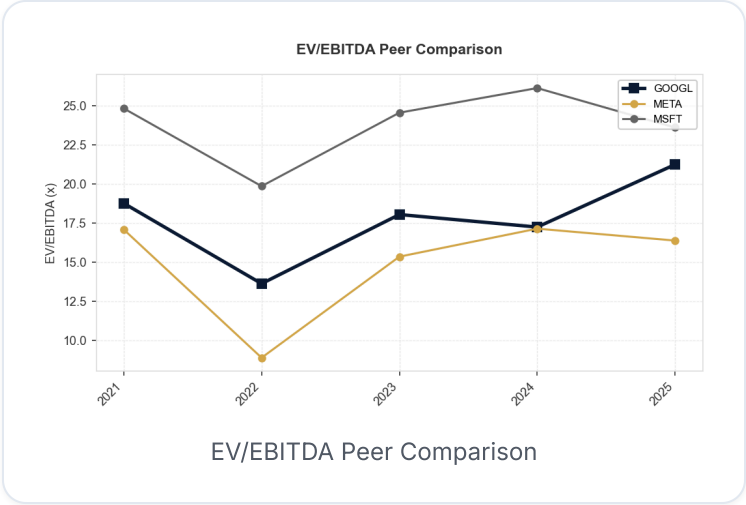
Relative to peers, Alphabet screens attractively. Microsoft commands a notably higher EV/EBITDA of **23.6x** on 2025 figures despite generating lower absolute EBITDA growth momentum. Meta trades at a discount of approximately **16.4x**, reflecting its narrower business mix and higher perceived concentration risk. Alphabet's 2026 estimated EBITDA of roughly **\$211 billion** surpasses both peers, and its projected EBITDA margin expansion toward **51.7%** by 2027 is among the most compelling in the large-cap technology universe.

Fair Value Assessment

Applying a peer-blended EV/EBITDA of **20x to 22x** against 2026 estimated EBITDA of approximately **\$211 billion** implies an enterprise value range of **\$4.2 trillion to \$4.6 trillion**. Incorporating net cash positions, this supports a fair value range of roughly **\$168 to \$185** per share, suggesting the stock is approximately fairly valued at current levels with moderate upside contingent on sustained margin execution and cloud acceleration.

Peer Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) delivered a standout performance in Q1 2026, emerging as the clear winner among Big Tech on a major earnings day that also included results from Meta, Amazon, and Microsoft. Alphabet posted earnings of \$5.11 per share, nearly doubling the consensus estimate of \$2.64, compared to \$2.81 a year ago. The strong beat drove the stock to outperform peers on the day, with investors rewarding Alphabet's disciplined approach to AI capital deployment over competitors like Meta, which faced scrutiny for its aggressive spending guidance.

Google Cloud was a headline driver, surpassing **\$20 billion** in quarterly revenue for the first time, representing a **63%** year-over-year increase. Notably, management flagged that growth was capacity-constrained, suggesting demand meaningfully exceeds current infrastructure, a bullish signal for future quarters as new data center capacity comes online. Search is also undergoing a structural evolution, with

Alphabet repositioning it as a transaction engine through AI Mode, and the company signaling openness to introducing advertising within its Gemini AI platform, which could unlock a significant new revenue stream.

From a financial trajectory standpoint, EBITDA margins are projected to expand from **44.7%** in 2025 to **51.7%** by 2027, reflecting strong operating leverage. Revenue is forecast to grow at an **11.8%** CAGR through 2027, with EPS climbing toward **\$13**. The forward EV/EBITDA of roughly **21x** remains at a modest premium to Meta but a meaningful discount to Microsoft.

Retail sentiment is broadly positive with a buzz score of 79.5 and **58%** bullish positioning on average, though divergence across platforms warrants monitoring. Overall, Alphabet presents a compelling investment case anchored in AI monetization, cloud growth, and expanding margins.

Retail Sentiment Insights

AVERAGE BUZZ 79.5/100	BULLISH AVG 58.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 83.5/100 Bullish 38.0% Mentions 3095 Trend rising	X.com Buzz 83.9/100 Bullish 67.0% Mentions 2838 Trend falling	Polymarket Buzz 71.1/100 Bullish 69.0% Trades 3633 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **48.7%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **50.2%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **51.7%**

Confidence Intervals:

- Revenue: **\$329.3B - \$603.6B (95% confidence)**
- EBITDA: **\$170.3B - \$312.0B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$329.3B — \$603.6B
EBITDA	\$170.3B — \$312.0B

Earnings Update

Fiscal 2025 — as of 2026-04-29

Summary review of reported **2025A** results versus our **2025E** internal model estimate row for the same fiscal year.

1. Executive summary

On the selected operating lines, reported results **trailed** our internal model estimates in **2** area(s) and **exceeded** in **0** (see table below).

Analyst commentary

Alphabet's fiscal 2025 results present a mixed picture relative to the prior internal model estimate row, with revenue and EPS tracking broadly in line while EBITDA and EBITDA margin came in below that reference point. The variance on profitability metrics likely reflects cost pressures or investment cadence that ran modestly ahead of what the estimate row had anticipated, a dynamic worth monitoring as the company continues to scale its AI infrastructure and cloud ambitions. Looking ahead, the top-line resilience is an encouraging signal for the durability of Alphabet's core advertising and Google Cloud franchises, and the earnings-per-share alignment suggests capital returns or below-the-line items provided some offset to the margin shortfall. Investors and analysts will reasonably focus on management's commentary around operating expense trajectory and segment-level profitability trends to assess whether the gap between revenue performance and EBITDA conversion narrows in subsequent periods, keeping the long-term investment thesis broadly intact.

2. Key metrics — reported vs. internal model estimates

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
Revenue	\$403.0B	\$423.1B	Inline
EBITDA	\$180.0B	\$206.1B	Miss

Metric	Reported (2025A)	Internal model (2025E)	vs. internal model
EBITDA Margin	44.7%	48.7%	Miss
EPS	10.91	11.57	Inline

*The **2025E** column reflects our internal model estimates for that fiscal year; it is not third-party sell-side consensus.*

3. Year-over-year change (2024A → 2025A)

- **Revenue:** \$403.0B vs prior year \$350.0B (**15.1% YoY**).
- **EBITDA margin:** 38.7% → 44.7% (**+6.0 pts**).

4. Forward estimates

Metric	2025E	2026E	2027E
Revenue	\$423.1B	\$448.5B	\$466.4B
EBITDA	\$206.1B	\$225.1B	\$241.1B
EPS	11.57	12.39	13.01
EBITDA Margin	48.7%	50.2%	51.7%

5. Investment view — implications

- **Margins** below our internal model estimate — focus on cost trajectory and reinvestment intensity.

6. Notable upcoming dates

2026-07-28 — GOOGL Expected Quarterly Earnings

Sources

- Market data and financial statement inputs: **Financial Modeling Prep** — [\[https://financialmodelingprep.com\]](https://financialmodelingprep.com)(<https://financialmodelingprep.com>) (accessed **2026-04-29**).

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
 - Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
 - Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
 - Impact: HIGH, Probability: **95%**
- **Product Launch** (2026-04-29): 5 Things to Know Before the Stock Market Opens
 - Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
 - Impact: HIGH, Probability: **95%**

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)
- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts

▲ EARNINGS

Impact: medium

Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day

▲ EARNINGS

Impact: medium

Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates

▲ EARNINGS

Impact: medium

Google Cloud surpasses \$20B but says growth was capacity-constrained

▼ EARNINGS

Impact: medium

Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge

▲ **EARNINGS** Impact: medium

Google gains 25M subscriptions in Q1, driven by YouTube and Google One

Positive Catalysts

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand
- ✓ Ca\$htag\$: GOOGL Surges on Exploding Cloud Growth
- ✓ Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?
- ✓ Australia to require Google, Meta, TikTok to pay for local news — or face new tax
- ✓ Alphabet first-quarter results likely to show continued growth, boosted by cloud
- ✓ Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings
- ✓ Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings
- ✓ Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought
- ✓ META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters

Risk Factors

- ⚠ Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- ⚠ 5 Things to Know Before the Stock Market Opens
- ⚠ Buying Alphabet stock before Q1 earnings? Here's why you should think twice

Technical & Advanced Analysis

Technical Overview — GOOGL

Current Price: **\$349.94** | 52-Week Range: **\$147.84 - \$355.79**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$312.23** | SMA 200: **\$279.11**

RSI Overbought
RSI (14): **77.6** — Overbought territory, potential pullback.

MACD Bullish
MACD: **11.71** | Signal: **9.60** | Histogram: **2.11**

Volume Normal
Latest: **31.0M** | 20d Avg: **24.4M** | Ratio: **1.27x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
META	\$55.3B	\$37.7B	\$59.1B	\$86.9B	\$104.5B	\$128.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
GOOGL	18.8	13.6	18.0	17.2	21.2
META	17.1	8.90	15.4	17.1	16.4
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Alphabet Inc. (GOOGL) competes primarily with Meta Platforms and Microsoft in the digital advertising, cloud computing, and AI-driven technology sectors. Across key financial metrics, Alphabet demonstrates a strong and improving competitive position relative to both peers.

On the EBITDA front, Alphabet has consistently led the group, growing from approximately **\$103.5 billion** in 2021 to **\$180.0 billion** in 2025, outpacing both Meta (**\$104.5 billion**) and Microsoft (**\$160.2 billion**) in the most recent year. Projected 2026 EBITDA of roughly **\$210.7 billion** further extends this lead, suggesting Alphabet is scaling its profitability faster than either competitor. Meta has shown the most dramatic recovery after a sharp contraction in 2022, while Microsoft has maintained steadier, more linear growth throughout the period.

Alphabet's EBITDA margin trajectory is particularly notable, expanding from **40.2%** in 2021 to **44.7%** in 2025, with estimates approaching **50%** by 2026. This reflects disciplined cost management and operating leverage that compares favorably to its peers.

On a valuation basis, Alphabet's EV/EBITDA multiple of **21.2x** in 2025 sits between Meta's more modest **16.4x** and Microsoft's premium **23.6x**. This positioning suggests the market views Alphabet as a high-quality compounder without the full premium ascribed to Microsoft, potentially offering relative value for investors.

Revenue growth of **15.1%** in 2025, supported by a five-year CAGR of **11.8%**, reinforces Alphabet's durable competitive moat across search, cloud, and emerging AI applications, keeping it well-positioned against both peers heading into 2026 and beyond.

Risk Factors

Alphabet Inc. (GOOGL) — Key Investment Risks

- **Revenue Growth Deceleration:** Projected revenue growth drops sharply from **15.1% (2025A) to 4.0% (2027E)**, suggesting core advertising business maturity and potential market saturation, which may pressure the current elevated **P/E of ~27x** if growth disappoints consensus estimates
- **EBITDA Margin Expansion Priced for Perfection:** Forward EBITDA margins are projected to expand aggressively from **44.7% to 51.7% by 2027E**, leaving little room for error from rising AI infrastructure costs or competitive pressure — any margin compression would significantly impair the current **EV/EBITDA of ~21x**, already at a 5-year high
- **AI-Driven Capital Expenditure Overhang:** Escalating AI investment requirements (reflected in **Cost of Operations growing from \$111B to \$163B, 2021–2025**) risk eroding free cash flow conversion, particularly as hyperscaler competition from Microsoft/Azure intensifies across cloud and enterprise segments
- **Competitive Multiple Compression Risk:** GOOGL's **EV/EBITDA of 21.2x** now commands a premium over META (**16.4x**) despite META's faster projected EBITDA growth, suggesting valuation vulnerability if Google's AI monetization narrative loses investor confidence
- **Regulatory & Antitrust Exposure:** Ongoing DOJ search monopoly rulings and EU regulatory actions pose structural risk to the core Search advertising segment, which underpins the majority of the **\$403B revenue base** and could force business model changes not reflected in current estimates

Key Takeaways

Revenue Growth

Alphabet has demonstrated consistent and accelerating revenue growth, with a **11.8% CAGR** from 2021–2027E, peaking at **15.1% in 2025A**. However, growth is expected to moderate to **4–6% in 2026–2027E**, reflecting the natural deceleration of a maturing, large-cap business scaling past \$400B in annual revenue.

Gross Profit Margin (Contribution Margin)

Alphabet's contribution margin has shown a steady upward trajectory, expanding from **56.9% in 2021** to **59.7% in 2025A**, with further improvement projected to **62.7% by 2027E**. This reflects ongoing operational efficiency gains, favorable mix shifts toward higher-margin products like Google Cloud and AI-driven services, and disciplined cost-of-operations management.

SG&A Expense Margin

SG&A as a percentage of revenue has improved meaningfully, declining from a peak of **15.0% in 2022** to **12.5% in 2025A**, with projections pointing toward **11.0% by 2027E**. This reflects Alphabet's cost rationalization efforts — including headcount reductions and operational restructuring — translating into durable leverage on the income statement.

EBITDA Margin

EBITDA margin has undergone a remarkable recovery and expansion, rebounding from a trough of **30.1% in 2022** to **44.7% in 2025A**, with estimates projecting a further climb to **51.7% by 2027E**. This trajectory significantly outpaces peers META and MSFT in margin expansion velocity, underscoring Alphabet's growing profitability power as AI monetization and cloud scale drive operating leverage.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	-	9.8%	8.7%	13.9%	15.1%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
EBITDA/Int Exp	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.9	2.4	2.1	1.8	2.0
Cash Flow to Debt Ratio	3.23	3.08	3.75	4.92	2.78

AI4Finance Foundation FinRobot Equity Research

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